# COOPERATIVE SOCIETIES

**COOPERATIVE IDENTITY, PRINCIPLES AND → FEDERAL COMPETENCE AND THE → UNION OF INDIA V. → PART IXB BOARD AND → SUPERSESSION, AUDIT AND RETURNS → STATE SOCIETIES AND MULTI-STATE**

Read the thick cyan rail from Stage 00 to the final core synthesis. Each card uses a concept-appropriate structure; the grey E card is optional enrichment only and never repairs missing core content.

● PRIMARY CORE FLOW ● SUBORDINATE EXTRA ● APPROVAL / REVIEW

CORE BEFORE EXTRA • prior artefacts unchanged • exact same master drives poster and tiles

Approval: FALSE • Pending user review • source generation gti and all prior artifacts unchanged

00

STAGE 00

## COOPERATIVE IDENTITY, PRINCIPLES AND EVOLUTION

COOPERATIVE IDENTITY, PRINCIPLES AND EVOLUTION · ROOT QUESTION · HOW CAN MEMBER-OWNED ENTERPRISE COMBINE DEMOCRATIC CONTROL WITH COMMERCIAL… · CORE IDENTITY VOLUNTARY ASSOCIATION + MEMBER OWNERSHIP + ONE-MEMBER… · SEVEN PRINCIPLES VOLUNTARY/OPEN MEMBERSHIP · DEMOCRATIC CONTROL · MEMBER ECONOMIC PARTICIPATION AUTONOMY · COOPERATION AMONG COOPERATIVES

ROOT QUESTION → How can member-owned enterprise combine democratic control with commercial discipline? → CORE IDENTITY voluntary association + member ownership + one-member democratic voice + shared benefit. → SEVEN PRINCIPLES voluntary/open membership → democratic control

**CONSTITUTIONAL BASIS / ARTICLE**
- ROOT QUESTION
- How can member-owned enterprise combine democratic control with commercial discipline?
- CORE IDENTITY voluntary association + member ownership + one-member democratic voice + shared benefit.
- SEVEN PRINCIPLES voluntary/open membership
- democratic control

**POWER / PROCEDURE**
- member economic participation autonomy
- cooperation among cooperatives
- community concern.
- 1904 credit law → 1912 general law → provincial/State field → 97th Amendment.
- FEDERAL LOCATION

**CHECK / LIMIT**
- Entry 32: State cooperatives
- Entry 44: multi-State corporations
- Entry 45: banking.
- LIMIT international principles guide interpretation; applicable Indian law controls outcomes.
- MUST REMEMBER: Preserve the post-Union of India v.

**FEDERAL / RIGHTS IMPACT**
- Rajendra N.
- Shah (2021) split: State-field cooperatives remain under Entry 32 and State law
- Part IXB survives for the multi-State field.

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: MUST REMEMBER: Preserve the post-Union of India v. Rajendra N. Shah (2021) split: State-field cooperatives remain under Entry 32 and State law; Part IXB survives for the multi-State field.

01

STAGE 01

## FEDERAL COMPETENCE AND THE 97TH AMENDMENT

FEDERAL COMPETENCE AND THE 97TH AMENDMENT · ENTRY 32, STATE LIST · STATE-FIELD COOPERATIVES · STATE LAW AND REGISTRAR. · ENTRY 44, UNION LIST CORPORATIONS WITH OBJECTS NOT CONFINED… · MSCS FIELD. · 97TH AMENDMENT · ARTICLE 19(1)(C) + ARTICLE 43B + PART IXB. · ENTRY 32, STATE LIST

State-field cooperatives: State law and Registrar. → ENTRY 44, UNION LIST corporations with objects not confined to one State: MSCS field. → 97TH AMENDMENT

**CONSTITUTIONAL BASIS / ARTICLE**
- ENTRY 32, STATE LIST
- State-field cooperatives: State law and Registrar.

**POWER / PROCEDURE**
- ENTRY 44, UNION LIST corporations with objects not confined to one State: MSCS field.
- 97TH AMENDMENT

**CHECK / LIMIT**
- Article 19(1)(c) + Article 43B + Part IXB.
- Formation freedom is subject to Article 19(4); Article 43B is a DPSP.

**FEDERAL / RIGHTS IMPACT**
- ENTRY 32, STATE LIST
- State-field cooperatives: State law and Registrar.

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: Formation freedom is subject to Article 19(4); Article 43B is a DPSP.

02

STAGE 02

## UNION OF INDIA V. RAJENDRA N. SHAH (2021): SEVERABILITY

UNION OF INDIA V. RAJENDRA N. SHAH (2021) · PART IXB ALTERED THE STATE LEGISLATIVE FIELD WITHOUT HALF-STATE… · MAJORITY RESULT · STATE-FIELD APPLICATION INVALID · ARTICLE 19(1)(C) AND ARTICLE 43B SURVIVE. · ARTICLE 243ZR PERMITS SEVERANCE FOR THE VALID MULTI-STATE FIELD. · UT NUANCE · MSCS OPERATIONS IN UTS SURVIVE; A SOCIETY CONFINED WITHIN

Union of India v. Rajendra N. Shah (2021) → Part IXB altered the State legislative field without half-State ratification. → MAJORITY RESULT → State-field application invalid → Article 19(1)(c) and Article 43B survive.

**CONSTITUTIONAL BASIS / ARTICLE**
- Union of India v. Rajendra N. Shah (2021)
- Part IXB altered the State legislative field without half-State ratification.

**POWER / PROCEDURE**
- MAJORITY RESULT
- State-field application invalid

**CHECK / LIMIT**
- Article 19(1)(c) and Article 43B survive.
- Article 243ZR permits severance for the valid multi-State field.

**FEDERAL / RIGHTS IMPACT**
- UT NUANCE
- MSCS operations in UTs survive; a society confined within one UT is not automatically covered.

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: MSCS operations in UTs survive; a society confined within one UT is not automatically covered.

03

STAGE 03

## PART IXB BOARD AND ELECTION DESIGN

PART IXB BOARD AND ELECTION DESIGN · 243ZJ MAXIMUM TWENTY-ONE DIRECTORS · FIVE-YEAR TERM · CONDITIONAL RESERVED SEATS LIMITED EXPERT CO-OPTION · FUNCTIONAL DIRECTORS SEPARATELY TREATED. · 243ZK ELECTION BEFORE TERM EXPIRY; VACANCY ELECTION WITHIN STATUTORY · THESE RULES NOW OPERATE ONLY IN THE CONSTITUTIONALLY VALID

| CONSTITUTIONAL BASIS / ARTICLE | POWER / PROCEDURE | CHECK / LIMIT | FEDERAL / RIGHTS IMPACT |
|---|---|---|---|
| 243ZJ maximum twenty-one directors | conditional reserved seats limited expert co-option | 243ZK election before term expiry; vacancy election within statutory period. | 243ZJ maximum twenty-one directors |
| five-year term | functional directors separately treated. | These rules now operate only in the constitutionally valid multi-State field. | five-year term |

**CONSTITUTIONAL BASIS / ARTICLE**
- 243ZJ maximum twenty-one directors
- five-year term

**POWER / PROCEDURE**
- conditional reserved seats limited expert co-option
- functional directors separately treated.

**CHECK / LIMIT**
- 243ZK election before term expiry; vacancy election within statutory period.
- These rules now operate only in the constitutionally valid multi-State field.

**FEDERAL / RIGHTS IMPACT**
- 243ZJ maximum twenty-one directors
- five-year term

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: These rules now operate only in the constitutionally valid multi-State field.

04

STAGE 04

## SUPERSESSION, AUDIT AND RETURNS

SUPERSESSION, AUDIT AND RETURNS · 243ZL LIMITED GROUNDS · ORDINARILY SIX MONTHS · BANKING COOPERATIVE CEILING DIFFERS. · NO SUPERSESSION WHERE NO GOVERNMENT SHARE, LOAN, AID OR · 243ZM AUDIT WITHIN SIX MONTHS. · 243ZN–243ZP MEETINGS, MEMBER INFORMATION AND RETURNS WITHIN STATUTORY CLOCKS. · 243ZQ IDENTIFIES OFFENCE FAMILIES.

**CONSTITUTIONAL BASIS / ARTICLE**
- 243ZL limited grounds
- ordinarily six months

**POWER / PROCEDURE**
- banking cooperative ceiling differs.
- No supersession where no government share, loan, aid or guarantee.

**CHECK / LIMIT**
- 243ZM audit within six months.
- 243ZN–243ZP meetings, member information and returns within statutory clocks.

**FEDERAL / RIGHTS IMPACT**
- 243ZQ identifies offence families.
- 243ZL limited grounds

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: 243ZN–243ZP meetings, member information and returns within statutory clocks.

05

STAGE 05

## STATE SOCIETIES AND MULTI-STATE SOCIETIES

STATE SOCIETIES AND MULTI-STATE SOCIETIES · STATE-FIELD SOCIETY · ENTRY 32 · STATE ACT/RULES/BYE-LAWS · STATE REGISTRAR. · MULTI-STATE COOPERATIVE SOCIETY · ENTRY 44 · MSCS ACT 2002

| Entry 32 | State Act/rules/bye-laws | State Registrar. | |
|---|---|---|---|
| Entry 44 | MSCS Act 2002 | Central Registrar | surviving Part IXB field. |

**CONSTITUTIONAL BASIS / ARTICLE**
- STATE-FIELD SOCIETY
- Entry 32
- State Act/rules/bye-laws

**POWER / PROCEDURE**
- State Registrar.
- MULTI-STATE COOPERATIVE SOCIETY
- Entry 44

**CHECK / LIMIT**
- MSCS Act 2002
- Central Registrar
- surviving Part IXB field.

**FEDERAL / RIGHTS IMPACT**
- TRAP operating in several districts is not the same as statutory multi-State status.
- CLOSE DISTINCTION: Do not merge the Ministry, CRCS, Election Authority, Ombudsman, RBI,
- NABARD, representative federations or operating cooperative societies.

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: TRAP operating in several districts is not the same as statutory multi-State status.

06

STAGE 06

## MSCS AMENDMENT 2023 INSTITUTIONS

MSCS AMENDMENT 2023 INSTITUTIONS · CO-OPERATIVE ELECTION AUTHORITY CONDUCTS BOARD ELECTIONS UNDER THE AMENDED… · CO-OPERATIVE OMBUDSMAN MEMBER GRIEVANCE AND APPEAL FUNCTIONS. · CO-OPERATIVE INFORMATION OFFICER MEMBER INFORMATION ROUTE WITH REASONED RESPONSE. · OTHER CONTROLS CONCURRENT AUDIT · CONFLICT RULES · REHABILITATION, RECONSTRUCTION AND DEVELOPMENT FUND. · CO-OPERATIVE ELECTION AUTHORITY conducts board elections under the amended statute.

CO-OPERATIVE OMBUDSMAN member grievance and appeal functions. → CO-OPERATIVE INFORMATION OFFICER member information route with reasoned response. → OTHER CONTROLS concurrent audit

**CONSTITUTIONAL BASIS / ARTICLE**
- CO-OPERATIVE ELECTION AUTHORITY conducts board elections under the amended statute.
- CO-OPERATIVE OMBUDSMAN member grievance and appeal functions.

**POWER / PROCEDURE**
- CO-OPERATIVE INFORMATION OFFICER member information route with reasoned response.
- OTHER CONTROLS concurrent audit

**CHECK / LIMIT**
- conflict rules
- rehabilitation, reconstruction and development fund.

**FEDERAL / RIGHTS IMPACT**
- CO-OPERATIVE ELECTION AUTHORITY conducts board elections under the amended statute.
- CO-OPERATIVE OMBUDSMAN member grievance and appeal functions.

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: OTHER CONTROLS concurrent audit | conflict rules | rehabilitation, reconstruction and development fund.

07

STAGE 07

## MINISTRY, CENTRAL REGISTRAR AND POLICY BOUNDARY

MINISTRY, CENTRAL REGISTRAR AND POLICY BOUNDARY · MINISTRY OF COOPERATION EXECUTIVE-POLICY COORDINATION; DOES NOT TRANSFER ENTRY · CENTRAL REGISTRAR REGISTRATION, REGULATION AND WINDING-UP FUNCTIONS UNDER THE · CRCS INSTITUTIONS · ELECTION AUTHORITY AND OMBUDSMAN PUBLISH CURRENT OFFICIAL PROCESSES. · USE DATED OFFICIAL DATA; DO NOT FREEZE DASHBOARD COUNTS. · CURRENT POLICY CONTROL · 5 SEPTEMBER 2026 · MINISTRY OF COOPERATION executive-policy coordination; does not transfer Entry 32 competence.

CENTRAL REGISTRAR registration, regulation and winding-up functions under the MSCS Act. → CRCS INSTITUTIONS → Election Authority and Ombudsman publish current official processes.

**CONSTITUTIONAL BASIS / ARTICLE**
- MINISTRY OF COOPERATION executive-policy coordination; does not transfer Entry 32 competence.
- CENTRAL REGISTRAR registration, regulation and winding-up functions under the MSCS Act.

**POWER / PROCEDURE**
- CRCS INSTITUTIONS
- Election Authority and Ombudsman publish current official processes.

**CHECK / LIMIT**
- Use dated official data; do not freeze dashboard counts.
- CURRENT POLICY CONTROL: 5 SEPTEMBER 2026

**FEDERAL / RIGHTS IMPACT**
- National Cooperation Policy 2025 was launched on 24 July 2025.
- Its governance, professionalisation, digital, market, finance and inclusion programme is policy; Entry 32 and State-law variation remain.

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: Its governance, professionalisation, digital, market, finance and inclusion programme is policy; Entry 32 and State-law variation remain.

08

STAGE 08

## COOPERATIVE BANKING REGULATION

COOPERATIVE BANKING REGULATION · UNION POLICY/ALLOCATED BUSINESS · MSCS STATUTORY ADMINISTRATION. · STATE REGISTRAR · STATE-LAW ADMINISTRATION. · STATUTORY DEVELOPMENT FINANCE. · NCUI/REPRESENTATIVE BODY · ADVOCACY, EDUCATION AND COORDINATION.

| CONSTITUTIONAL BASIS / ARTICLE | POWER / PROCEDURE | CHECK / LIMIT | FEDERAL / RIGHTS IMPACT |
|---|---|---|---|
| Ministry → Union policy/allocated business. | NCUI/representative body → advocacy, education and coordination. | PACS boundary must not be erased. | collective input/procurement. |
| CRCS → MSCS statutory administration. | Operating cooperative → member-owned enterprise, not regulator. | EXAMPLES: dairy pooling | TRAP credit, dairy and agricultural cooperatives do not share one prudential regulator. |
| State Registrar → State-law administration. | BANKING OVERLAY incorporation/governance law + Banking Regulation Act/RBI | credit access | |
| NCDC → statutory development finance. | NABARD supervision for specified rural cooperative banks | agricultural marketing | |

**CONSTITUTIONAL BASIS / ARTICLE**
- Ministry → Union policy/allocated business.
- CRCS → MSCS statutory administration.
- State Registrar → State-law administration.
- NCDC → statutory development finance.

**POWER / PROCEDURE**
- NCUI/representative body → advocacy, education and coordination.
- Operating cooperative → member-owned enterprise, not regulator.
- BANKING OVERLAY incorporation/governance law + Banking Regulation Act/RBI
- NABARD supervision for specified rural cooperative banks

**CHECK / LIMIT**
- PACS boundary must not be erased.
- EXAMPLES dairy pooling
- credit access
- agricultural marketing

**FEDERAL / RIGHTS IMPACT**
- collective input/procurement.
- TRAP credit, dairy and agricultural cooperatives do not share one prudential regulator.

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: TRAP credit, dairy and agricultural cooperatives do not share one prudential regulator.

09

STAGE 09

## ARTICLE 12, ARTICLE 226 AND RTI TESTS

ARTICLE 12, ARTICLE 226 AND RTI TESTS · ARTICLE 12 INSTRUMENTALITY/CONTROL TEST; REGISTRATION OR AID ALONE IS… · ARTICLE 226 WRIT MAY FOLLOW A PUBLIC DUTY EVEN · RTI SECTION 2(H) CONTROL OR SUBSTANTIAL-FINANCE TEST IS SEPARATE. · THALAPPALAM SERVICE COOPERATIVE BANK (2013) SUBSTANTIAL FINANCE/CONTROL REQUIRES EVIDENCE · ARTICLE 12 instrumentality/control test; registration or aid alone is insufficient.

ARTICLE 226 writ may follow a public duty even without Article 12 status. → RTI section 2(h) control or substantial-finance test is separate. → Thalappalam Service Cooperative Bank (2013) substantial finance/control requires evidence, not assumption.

**CONSTITUTIONAL BASIS / ARTICLE**
- ARTICLE 12 instrumentality/control test; registration or aid alone is insufficient.
- ARTICLE 226 writ may follow a public duty even without Article 12 status.

**POWER / PROCEDURE**
- RTI section 2(h) control or substantial-finance test is separate.
- Thalappalam Service Cooperative Bank (2013) substantial finance/control requires evidence, not assumption.

**CHECK / LIMIT**
- ARTICLE 12 instrumentality/control test; registration or aid alone is insufficient.
- ARTICLE 226 writ may follow a public duty even without Article 12 status.

**FEDERAL / RIGHTS IMPACT**
- RTI section 2(h) control or substantial-finance test is separate.
- Thalappalam Service Cooperative Bank (2013) substantial finance/control requires evidence, not assumption.

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: Thalappalam Service Cooperative Bank (2013) substantial finance/control requires evidence, not assumption.

10

STAGE 10

## GOVERNANCE FAILURES AND REFORM SEQUENCE

GOVERNANCE FAILURES AND REFORM SEQUENCE · THALAPPALAM SERVICE COOPERATIVE BANK (2013) REGISTRATION AND ORDINARY REGISTRAR · THREE DIFFERENT TESTS · ARTICLE 12 STATE · ARTICLE 226 PUBLIC DUTY · RTI SECTION 2(H) PUBLIC AUTHORITY. · FAILURE CHAIN POLITICAL CAPTURE · DELAYED ELECTIONS · Thalappalam Service Cooperative Bank (2013) registration and ordinary Registrar control did not automatically create RTI

THREE DIFFERENT TESTS → Article 12 State → Article 226 public duty → RTI section 2(h) public authority.

**CONSTITUTIONAL BASIS / ARTICLE**
- Thalappalam Service Cooperative Bank (2013) registration and ordinary Registrar control did not automatically create RTI public authority.
- THREE DIFFERENT TESTS
- Article 12 State

**POWER / PROCEDURE**
- Article 226 public duty
- RTI section 2(h) public authority.
- FAILURE CHAIN political capture → delayed elections → weak audit → connected lending

**CHECK / LIMIT**
- member apathy → losses → State rescue → reduced autonomy.
- REFORM CHAIN timely elections + fit expertise + independent audit + member information
- digital but inclusive records + regulator coordination + proportionate intervention.

**FEDERAL / RIGHTS IMPACT**
- VERDICT autonomy without accountability permits capture; control without autonomy kills cooperation.

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: VERDICT autonomy without accountability permits capture; control without autonomy kills cooperation.

11

STAGE 11

## UPSC TRAPS, PYQS AND ANSWER SYNTHESIS

UPSC TRAPS, PYQS AND ANSWER SYNTHESIS · PRELIMS FIREWALL · PART IXB NOT UNIFORM FOR ALL STATE COOPERATIVES · ARTICLE 43B IS DPSP RIGHT TO FORM · RIGHT TO STATE AID · ENTRY 32 · ENTRY 44 · EVERY GOVERNANCE FUNCTION SCHEDULED CONSTITUTIONAL TEXT · Part IXB not uniform for all State cooperatives

PRELIMS FIREWALL → Part IXB not uniform for all State cooperatives → Article 43B is DPSP right to form != right to State aid → Entry 32 != Entry 44 → Ministry != Registrar

**CONSTITUTIONAL BASIS / ARTICLE**
- PRELIMS FIREWALL
- Part IXB not uniform for all State cooperatives
- Article 43B is DPSP right to form != right to State aid
- Entry 32 != Entry 44
- Ministry != Registrar

**POWER / PROCEDURE**
- RBI != every governance function scheduled constitutional text != enforceable State-field command after 2021
- ADJACENT VERIFIED ROUTES
- 2020 DCCB
- 2021 UCB
- 2023 Small Farmer Large Field.

**CHECK / LIMIT**
- They remain Economy/agriculture routes, not invented direct Polity PYQs.
- MAINS SPINE identity/principles → federal competence → 97th Amendment
- Union of India v. Rajendra N. Shah (2021) → State/MSCS regimes → 2023 accountability
- banking coordination → member-centric professionalisation.
- CONCLUSION valid reform is cooperative in both enterprise form and federal method.

**FEDERAL / RIGHTS IMPACT**
- LEGAL/SOURCE LIMIT: The MSCS Amendment Act and Rules, 2023 remain operative; National
- Cooperation Policy 2025 is policy, not a transfer of legislative competence.

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: CONCLUSION valid reform is cooperative in both enterprise form and federal method.

E

EXTRA

## SUBORDINATE ENRICHMENT — ONLY AFTER THE COMPLETE CORE

OPTIONAL ADVANCED ENRICHMENT · KEY FEATURES OF PART IX-B CAUTION · (EXAM-RELEVANT DETAIL) · UPSC TRAPS · CA HOOKS (OFFICIAL/COURT-VERIFIED) · MAINS ANGLES · PARLIAMENT LEGISLATES FOR MULTI-STATE CO-OPERATIVES; STATE LEGISLATURES FOR OTHER · BOARD MEMBERS MAX 21 ; FIXED 5-YEAR TERM FOR

**OPTIONAL DOCTRINE / CASE**
- Key features of Part IX-B CAUTION: (exam-relevant detail)
- UPSC Traps
- CA hooks (official/court-verified)
- Mains angles

**ADVANCED LIMIT**
- Parliament legislates for multi-state co-operatives; State Legislatures for other co-operatives.
- Board members max 21 ; fixed 5-year term for board & office-bearers.
- Reservation — one SC/ST and two women seats where the society's individual
- Audit within six months

**COMPARATIVE NUANCE**
- supersession ordinarily cannot exceed six months, while a cooperative carrying on banking business has the separate constitutional ceiling.
- No supersession applies under the Part IXB text where there is no government shareholding, loan, financial assistance or guarantee.
- Members' right to information about the society.
- BUT Part IX-B survives for MULTI-STATE co-operative societies (and UTs) — the Court applied the

OPTIONAL STATUS — This optional depth is unnecessary for a competent core answer; use it only for added nuance after the complete core has been written.

END OF MASTER CANVAS • poster embeds this exact master • tiled pages are overlapping crops of the same pixels